

Parag Parikh Flexi Cap Fund

PPFAS Mutual Fund · Open Ended Schemes(Equity Scheme - Flexi Cap Fund) · Direct/Growth

NAV ₹89.96 (as of 25-Sep-2026) · 5.7y of NAV history on file

Returns

- 1-month: -1.2%
- 3-month: +0.3%
- 6-month: +4.1%
- 1-year: -3.5%
- 3-year CAGR: +12.9%
- 5-year CAGR: +11.1%
- since-incep CAGR: +16.6%

3y return ranks #4 of 5 in Open Ended Schemes(Equity Scheme - Flexi Cap Fund) (top 20% · category median +13.5%).

Risk (trailing, from daily NAV)

- Annualised volatility: 11.5%
- Sharpe: 0.94 · Sortino: 1.29
- Max drawdown: -17.9%

Rolling 1-year returns (consistency)

- Worst / median / best: -7.2% · +12.8% · +47.0%

If you had SIP'd ₹10,000/month

Horizon	Installments	Invested	Value today	Gain	XIRR
1y	12	₹120,000	₹117,557	-2.0%	-3.9%
3y	36	₹360,000	₹386,307	+7.3%	+4.7%
5y	60	₹600,000	₹793,198	+32.2%	+11.2%
XIRR is the money-weighted return — what an SIP actually earns, which differs from the lump-sum CAGR above because each instalment is invested for a different length of time.					

Versus its benchmark (Nifty 500)

- Fund +13.2% vs benchmark +10.5% annualised → outperformed by 2.7 pp over the last 5.2y of common history.
- Alpha +3.8% (risk-adjusted excess return) · Beta 0.67 (less volatile than the index)
- Up-capture 72% / down-capture 65% — it captures 72% of the index's up-moves and 65% of its falls (good downside protection).
- Tracking error 7.8% · Information ratio 0.35 (excess return per unit of active risk). Based on 1275 overlapping trading days (~5y of daily NAV vs the index).

Portfolio (as of Jul-2026)

- **112 holdings** · top-10 = **49.9%** of NAV · biggest sector **Banks** (20.2%)
- **Top holdings:** HDFC Bank Limited (7.55%), Power Grid Corporation of India Limited (5.98%), ITC Limited (5.74%), ICICI Bank Limited (5.56%), Coal India Limited (4.91%), Bajaj Holdings & Investment Limited (4.85%), HCL Technologies Limited (4.23%), Kotak Mahindra Bank Limited (4.07%)

What the manager did (Jun → Jul)

- **+ Added to:** HCL Technologies Limited (+0.79pp), Tata Consultancy Services Limited (+0.31pp), Infosys Limited (+0.27pp), Mahindra & Mahindra Limited (+0.24pp), Bajaj Holdings & Investment Limited (+0.22pp)
- **- Trimmed:** HDFC Bank Limited (-0.78pp), Coal India Limited (-0.44pp), Axis Bank Limited (-0.37pp), ITC Limited (-0.33pp), Power Grid Corporation of India Limited (-0.25pp), Kotak Mahindra Bank Limited (-0.16pp), Dr. Reddy's Laboratories Limited (-0.16pp) *Straight from consecutive SEBI-mandated monthly portfolio disclosures — the manager's actual conviction, not commentary.*

NAV/returns from AMFI · holdings from the AMC's SEBI monthly disclosure (primary). Deeper forensic look-through (Altman/Piotroski across holdings) grows with financials coverage.

=====

Analysis

Verdict

Hold. This fund is a conservative equity play that prioritizes capital preservation. It suits a patient, long-term investor who wants equity exposure with lower volatility than the broad market and is willing to accept periods of underperformance in exchange for superior downside protection. It is best used as a core portfolio holding, built gradually via SIPs.

What this fund is

Parag Parikh Flexi Cap Fund is an equity scheme in the **Flexi Cap** category. This mandate gives the fund manager complete freedom to invest across the market spectrum — from giant blue-chip companies (large-cap) to mid-sized and smaller companies — without any fixed allocation limits. This flexibility can be a powerful tool to navigate different market cycles.

Based on its performance DNA, this fund is not trying to be the flashiest performer in the category. Instead, its numbers point to a strategy focused on risk management and delivering steady, albeit sometimes moderate, returns. Its low volatility and strong downside protection measures suggest it aims to be a stable compounder, placing it on the lower-risk end of the equity fund spectrum. The fund's character is less about chasing momentum and more about a disciplined, value-conscious approach.

Returns — and what they mean

The fund's returns present a mixed and revealing picture. The long-term track record is strong, with a since-inception compound annual growth rate (**CAGR**) of **+16.6%**. However, the recent performance has been notably weak.

Period	Fund Return
1-year	-3.5%
3-year CAGR	+12.9%
5-year CAGR	+11.1%

The recent returns are a cause for concern. A negative return over the last year and a 3-year performance that ranks it **#4 out of 5 funds** in its category (lagging the category median of +13.5%) indicates the fund's style has been out of favour. This is the difference between a simple CAGR and the "lived experience" of an investor; anyone who invested in the last 1-3 years is likely feeling disappointed.

However, the **5.7-year** history is long enough to show that the fund has delivered through a full market cycle, and these periods of underperformance are often the price paid for its conservative style, which shines in downturns.

Risk — how bumpy the ride is

This is where the fund's core proposition becomes clear: it offers a less volatile journey than its peers.

- **Annualised Volatility:** At **11.5%**, the fund's NAV fluctuates significantly less than a typical equity fund. A lower number here means a smoother ride for the investor.
- **Sharpe Ratio:** The fund's Sharpe ratio is **0.94**. This metric measures return per unit of total risk taken. A value close to 1.0 is considered very good, indicating that the fund has generated strong risk-adjusted returns.
- **Sortino Ratio:** The Sortino ratio of **1.29** is even more impressive. It measures return against only "bad" volatility (downside risk). A ratio well above 1.0, and notably higher than the Sharpe ratio, confirms the fund's excellent ability to protect capital during market declines.
- **Max Drawdown:** The fund's worst peak-to-trough fall has been **-17.9%**. While any drop is uncomfortable, this is a remarkably contained drawdown for an equity fund. It means as an investor, you'd have needed the stomach to watch your investment fall by about one-sixth at its worst—a far cry from the 30-40% drawdowns that can be seen elsewhere in equity markets.

Consistency

Trailing returns can be deceiving, as they depend heavily on the start and end dates. Rolling returns provide a much better sense of an investor's typical experience.

Over every possible 1-year period in its history, the fund's returns have been:

- **Worst: -7.2%**
- **Median: +12.8%**
- **Best: +47.0%**

This is a powerful set of numbers. It tells you that in a bad year, the fund has historically managed to limit losses to a single-digit percentage. The median experience is a solid double-digit return of **+12.8%**. This consistency and managed downside are key features of the fund.

What an SIP actually earned

Systematic Investment Plans (SIPs) often result in a different personal return (**XIRR**) than the fund's official lump-sum CAGR, because you buy units at different prices over time.

Horizon	Your Total Investment		Final Value		Your Return (XIRR)
1y		₹1.2 Lakh		₹1.17 Lakh	-3.9%
3y		₹3.6 Lakh		₹3.86 Lakh	+4.7%
5y		₹6.0 Lakh		₹7.93 Lakh	+11.2%

The SIP returns mirror the story told by the trailing returns: recent investors have had a poor experience (**-3.9%** XIRR over 1 year), while long-term SIP investors have been well-rewarded (**+11.2%** XIRR over 5 years). The 5-year XIRR is almost identical to the 5-year CAGR, suggesting a relatively steady journey that doesn't dramatically swing the benefits of rupee-cost averaging in either direction.

Versus its benchmark

This is the ultimate test of an active fund: does it add value over a simple index investment? For this fund, the answer is a clear yes.

- **Alpha vs. Beta:** Over the last ~5 years, the fund has generated an **alpha** of **+3.8%**. This is the genuine, risk-adjusted outperformance delivered by the fund manager's skill. It achieved this with a **beta** of just **0.67**. This is an exceptional combination. It means the fund is about 33% less volatile than the Nifty 500 benchmark. Generating positive alpha with a low beta is the hallmark of a skilled defensive manager.
- **Up/Down Capture:** The fund's capture ratios are **72%** (up) and **65%** (down). This is the practical effect of its low beta. It means in a rising market, the fund captures about 72% of the benchmark's gains, but in a falling market, it only suffers 65% of the losses. You sacrifice some upside for significant protection on the downside.
- **Information Ratio:** At **0.35**, this ratio (measuring excess return per unit of active risk) is decent. While not exceptionally high, it confirms that the manager's bets, which deviate from the benchmark, have added value over time.

In short, the manager has demonstrably added value, not by taking more risk, but by taking *less* and *smarter* risk.

🚀 What the portfolio says

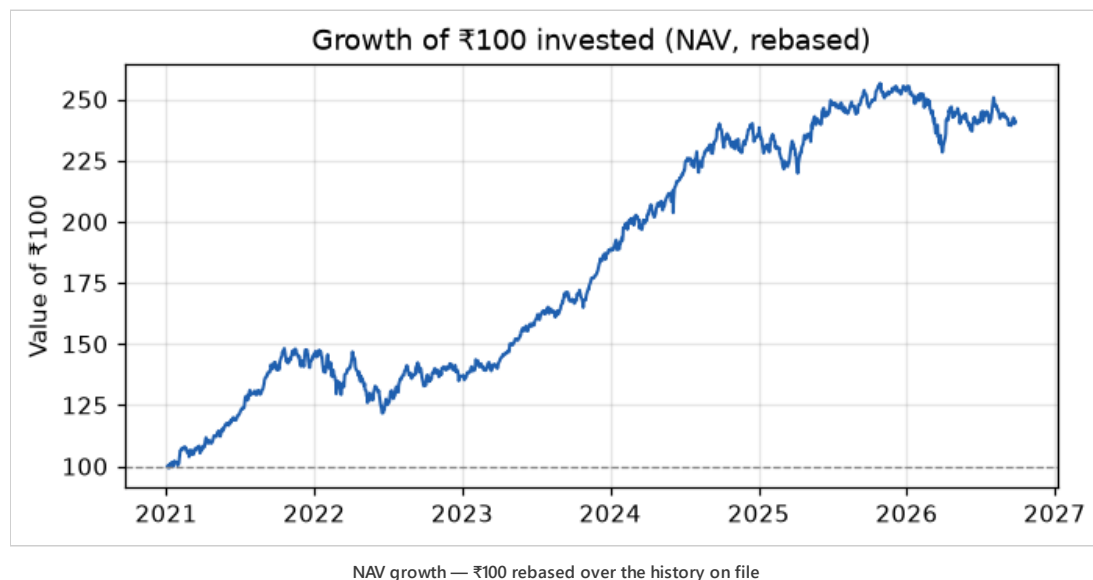
The July 2026 portfolio disclosure reveals a strategy of high-conviction bets within a diversified structure.

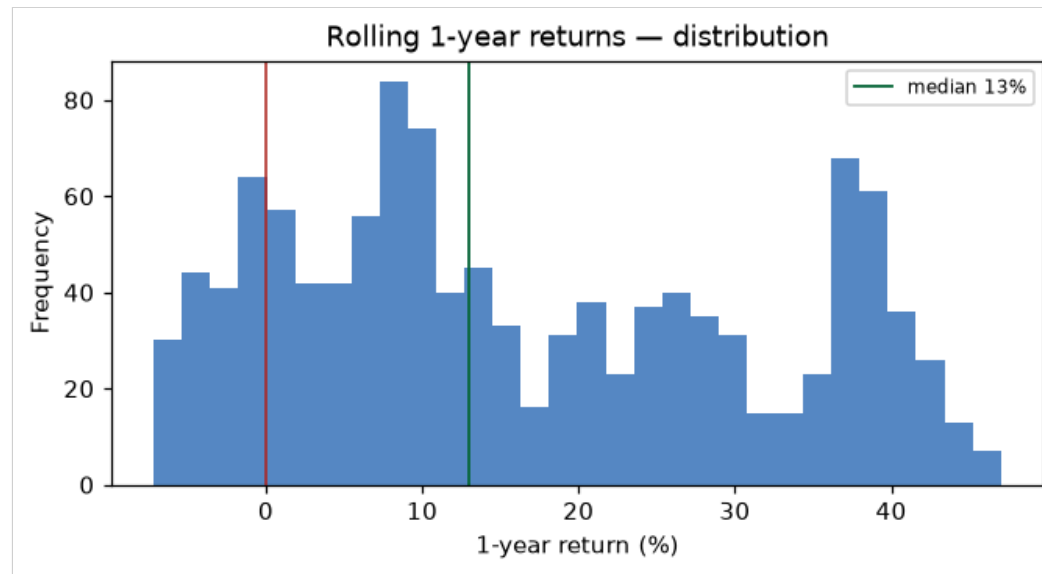
- **Concentration:** The fund holds **112 stocks**, but the top 10 holdings make up **49.9%** of the portfolio. This indicates the manager has strong conviction in their top ideas, with the largest bet being in the **Banks** sector (**20.2%**). The top holdings are a who's who of Indian blue-chips like **HDFC Bank (7.55%)**, **Power Grid (5.98%)**, and **ITC (5.74%)**.
- **⚠️ Overlap Risk:** As an investor who already holds direct stocks, you must pay close attention here. The fund's top holdings are names you likely already own or follow. Investing in this fund could lead to **duplicating your risk**, not diversifying it. You are essentially paying a fee for a manager to hold the same large-cap stocks you hold directly.
- **What the Manager is Doing:** The recent activity shows a clear rotation. The manager is **trimming** major banks (HDFC, Axis, Kotak) and other large positions (Coal India, ITC, Power Grid), while decisively **adding to IT services companies** (HCL Tech, TCS, Infosys). This is active management in action—likely taking profits from recent winners and buying into a sector that may now look more attractive from a valuation perspective.

🔍 Risks & what to watch

1. **Prolonged Underperformance:** The most immediate risk. The fund has lagged its peers and the category median over one and three years. You need to monitor whether this is a temporary style mismatch or a more permanent decline in performance. A continued lag for another 2-3 quarters would be a major red flag.
2. **Concentration Bets:** While conviction is good, having nearly **50%** of the fund in just 10 stocks and over **20%** in a single sector (Banks) creates concentration risk. If a few of these top bets go wrong, it will significantly impact the fund's overall performance.
3. **Style Risk in Bull Markets:** The fund's defensive, low-beta nature means it is almost guaranteed to underperform in a sharp, momentum-driven bull market. Investors must have the discipline to stick with the strategy and not chase returns, understanding that the fund's value is proven over a full market cycle, especially during downturns.
4. **Portfolio Duplication:** For you, the most personal risk is overlap. Before investing more, meticulously compare the fund's top 20-30 holdings with your direct stock portfolio. If the overlap is over 30-40%, this fund may not be the best use of your capital for diversification.

Charts





Rolling 1-year returns — every 1-yr holding period in the history

⚠ Automated research for personal & educational use only — NOT investment advice, a recommendation, or an offer to buy or sell any security. Figures may be delayed, incomplete, or inaccurate, and AI-generated commentary can contain errors. Verify independently and consult a SEBI-registered investment adviser before acting. You alone are responsible for your investment decisions.